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	1	2	3	4	5
A	B	B	C	C	D
	6	7	8	9	10
A	E	E	B	E	B
	11	12	13	14	15
A	C	D	C	D	D

1. (5 Points) Which of the following indices is (are) market-value weighted?
I) The Korea Composite Stock Price Index
II) The Standard and Poor's 500 Stock Index
III) The Dow Jones Industrial Average

A. I only
B. I and II only
C. I and III only
D. I, II, and III
E. II and III only

2. (5 Points) An investor purchases one municipal and one corporate bond that pay rates of return of 7.5% and 10.3%, respectively. If the investor is in the 25% federal income tax bracket, his or her after tax rates of return on the municipal and corporate bonds would be ________ and ______, respectively.

A. 7.5% and 10.3%
B. 7.5% and 7.725%
C. 5.63% and 7.725%
D. 5.63% and 10.3%
E. 10% and 10%

3. (5 Points) A 5.5% coupon 20-year municipal bond is currently priced to yield 6.7%. For a taxpayer in the 33% marginal tax bracket, this bond would offer an equivalent taxable yield of:

A. 3.685%.
B. 4.485%.
C. 10.00%.
D. 11.40%.
E. none of the above.

4. (5 Points) The ____ index represents the performance of the Japanese stock market.

A. DAX
B. FTSE
C. Nikkei
D. Hang Seng
E. CAC

5. (5 Points) A bond that can be retired prior to maturity by the issuer is a ____________ bond.

A. convertible
B. secured
C. unsecured
D. callable
E. Yankee

6. (5 Points) A purchase of a new issue of stock takes place

A. in the secondary market.
B. in the primary market.
C. usually with the assistance of an investment banker.
D. A and B.
E. B and C.

7. (5 Points) In a "firm commitment"

A. the investment banker buys the stock from the company and resells the issue to the public.
B. the investment banker agrees to help the firm sell the stock at a favorable price.
C. the investment banker finds the best marketing arrangement for the investment banking firm.
D. B and C.
E. A and B.

8. (5 Points) Initial margin requirements in the U.S. are determined by

A. the Securities and Exchange Commission.
B. the Federal Reserve System.
C. the New York Stock Exchange.
D. B and C.
E. A and B

9. (5 Points) Proponents of the EMH typically advocate

A. an active trading strategy.
B. investing in an index fund.
C. a passive investment strategy.
D. an active trading strategy and investing in an index fund
E. investing in an index fund and a passive investment strategy

10. (5 Points) If you believe in the _________ form of the EMH, you believe that stock prices reflect all available information, including information that is available only to insiders.

A. semistrong
B. strong
C. weak
D. semistrong, strong, and weak

E. None of these are correct.

11. (5 Points) If you believe in the reversal effect, you should

A. buy bonds in this period if you held stocks in the last period.
B. buy stocks in this period if you held bonds in the last period.
C. buy stocks this period that performed poorly last period.
D. go short.
E. both buy stocks this period that performed poorly last period and go short

12. (5 Points) __________ focus more on past price movements of a firm's stock than on the underlying determinants of future profitability.

A. Credit analysts
B. Fundamental analysts
C. Systems analysts
D. Technical analysts
E. Credit analysts, Fundamental analysts, Systems analysts, and Technical analysts

13. (5 Points) _________ below which it is difficult for the market to fall.

A. An intrinsic value is a value
B. A resistance level is a value
C. A support level is a value
D. An intrinsic value and a resistance level are values
E. A resistance level and a support level are values

14. (5 Points) The debate over whether markets are efficient will probably never be resolved because of ________.

A. the lucky event issue
B. the magnitude issue
C. the selection bias issue
D. the lucky event issue, magnitude issue, and selection bias issue
E. None of these answers are correct.

15. (5 Points) If stock prices follow a random walk

A. it implies that investors are irrational.
B. it means that the market cannot be efficient.

C. price levels are not random.
D. price changes are random.
E. price movements are predictable.